

**Before the
FEDERAL MARITIME COMMISSION**

Docket No. 26-08

EALYTEX GLOBAL INC.

v.

COSCO SHIPPING LINES CO., LTD.

RESPONDENT’S MOTION FOR PARTIAL SUMMARY JUDGMENT

Respondent COSCO Shipping Lines Co., Ltd. (“COSCO” or “Respondent”)¹ respectfully submits this dispositive motion, pursuant to 46 C.F.R. §§ 502.12 and 502.70, for partial summary judgment dismissing the Verified Complaint (“Complaint”) of Ealytex Global Inc. (“EGI” or “Complainant”) to the extent that it seeks reparations.² The undisputed facts, established by the accompanying Declaration of Krystle Watson (“Watson Decl.”), are that COSCO never issued a single invoice to EGI and EGI never made a single payment to COSCO with respect to the shipments at issue. Under the “direct purchaser” rule that the Commission and its predecessors have applied without deviation for ninety years, only the party that actually paid the carrier suffers the “actual injury” the Shipping Act requires for an award of reparations. 46 U.S.C. §

¹ As used herein, “COSCO” and “Respondent” mean only Respondent COSCO Shipping Lines Co., Ltd. and do not include COSCO Shipping Lines (North America), Inc. (“CSLNA”), COSCO’s U.S. agent, which is not a respondent in this proceeding.

² It is not clear that judgment regarding reparations is sufficient to dismiss the Complaint *in toto*. Although the Complaint does not seek a cease-and-desist order, it does request a finding of statutory violation, which might be deemed enough to allow the case to go forward on a non-reparations basis, should Complainant so choose.

41305(b). That rule is no mere formality; it performs a vital gatekeeping function, confining an award of reparations to those suffering “actual injury,” as required by the Shipping Act, and avoiding the need for detailed and complicated economic analysis to determine whether, and to what extent, the direct charges were passed on to downstream entities that may have paid the direct purchaser through arrangements to which the carrier was not privy and possibly including markups to what the direct purchaser paid. It also serves the important function of precluding a respondent from defeating a direct purchaser on the ground that any harm suffered by the direct purchaser was passed on to third parties.

EGI is, at most, an indirect purchaser. Any invoices sent to EGI relating to the charges were sent by intermediaries, not COSCO. And assuming that EGI paid any such invoices, it paid the intervening intermediary, not COSCO. Accordingly, EGI lacks standing to recover reparations, so COSCO is entitled to summary judgment as a matter of law with respect to EGI’s claim for reparations.

**MEMORANDUM IN SUPPORT OF
MOTION FOR PARTIAL SUMMARY JUDGMENT**

INTRODUCTORY STATEMENT

EGI’s Complaint seeks reparations (\$91,545) for detention, demurrage, per diem, and storage charges purportedly assessed in connection with containers EGI allegedly shipped. (Compl. ¶¶ 10, 23, 31; Prayer ¶ 3.) EGI alleges those charges were “paid by Complainant.” (Compl. ¶ 14.) What the Complaint never alleges—because it cannot—is that COSCO invoiced EGI, or that EGI paid COSCO with respect to such charges. In reality, as established by the Watson Decl., and the COSCO records attached to it as Exhibit A, neither happened: the detention charges for every container identified in Paragraph 23 were invoiced to, and paid by, two motor carriers—Golden State Drayage Company and Never Ending Express, Inc.—not EGI.

Assuming, as the Complaint alleges, that EGI paid anyone with respect to the charges, it was not COSCO, but those intermediaries (or entities further up the chain). Accordingly, EGI is not a “direct purchaser,” suffered no cognizable “actual injury,” and cannot recover reparations from COSCO.

A Motion seeking summary judgment differs from a motion for judgment on the pleadings in that the bare allegations of the Complaint are not taken as true. Once COSCO comes forward with sworn evidence that it never invoiced EGI nor received payment from EGI, as it has done here, Complainant may no longer rest on the studied ambiguity of its pleading; it must produce admissible evidence that it actually paid COSCO. It cannot because it did not.

STATEMENT OF UNDISPUTED MATERIAL FACTS

1. EGI seeks reparations for detention, demurrage, per diem, and storage charges allegedly assessed on containers it shipped. (Compl. ¶¶ 2, 10, 31.)
2. EGI alleges those charges were “paid by Complainant.” (Compl. ¶ 14; see also ¶¶ 20, 23.)
3. COSCO did not issue any invoices to EGI for the charges at issue. (Watson Decl.)
4. COSCO never received any payment from EGI for the charges at issue. (Watson Decl.)
5. COSCO assessed only detention charges on the seventeen containers identified in Paragraph 23 of the Complaint, and did not assess demurrage, or storage charges on them. (Watson Decl.)
6. For each of those seventeen containers, COSCO’s records reflect that the detention charge was invoiced to and paid by one of two motor carriers—Golden State Drayage Company or Never Ending Express, Inc.—and not by EGI. (Watson Decl. & Ex. A.)

ARGUMENT

I. The Undisputed Facts Establish That EGI Lacks Standing to Seek Reparations.

The Commission decides summary-judgment motions under Rule 56 of the Federal Rules of Civil Procedure, made applicable by 46 C.F.R. § 502.12. E.g., *EuroUSA Shipping, Inc.—Possible Violations of Section 10 of the Shipping Act*, Docket No. 08-06, 2008 WL 7149852, at *4 (F.M.C.). Judgment is warranted where the record shows no genuine issue of material fact and the movant is entitled to judgment as a matter of law; “only disputes over facts that might affect the outcome” preclude it. *Anderson v. Liberty Lobby, Inc.*, 477 U.S. 242, 248 (1986). Once the movant shows an absence of evidence to support an essential element of the non-movant’s claim, the burden shifts to the non-movant to come forward with specific, admissible facts showing a genuine issue for hearing. Neither the conclusory allegations of a pleading nor the arguments of counsel—which are not evidence—will suffice to meet that burden. See *Santa Fe Discount Cruise Parking, Inc. v. Bd. of Trustees of the Galveston Wharves*, 1 F.M.C. 2d 195, 245 (ALJ 2018); *Bimsha Int’l v. Chief Cargo Servs., Inc.*, 2011 WL 7144011 (ALJ 2011), *aff’d*, 32 S.R.R. 1861 (FMC 2013). Here, the essential element EGI lacks is the one at the heart of every reparations claim—that it actually paid the carrier.³

II. Only Direct Purchasers Have Standing to Recover Reparations.

Although any “person” may file a complaint alleging a Shipping Act violation, 46 U.S.C. § 41301(a), only a complainant that suffers “actual injury” may recover reparations, *id.* § 41305(b). Where the claim challenges allegedly unreasonable or excessive charges—as it does here—the Commission has long held that only the entity that purchased the relevant services

³ EGI may attempt to argue that it should be allowed discovery to determine who paid COSCO, but any such assertion is unavailing, both because the Declaration already answers the question and because EGI must already know (and be ready to show proof) whether or not EGI it paid the charges directly to COSCO.

directly from the ocean common carrier (the “direct purchaser”) suffers the “actual injury” that confers standing to seek reparations. E.g., *Intermodal Motor Carriers Conference v. OCEMA*, 2024 WL 641501 (F.M.C. 2024); *TCW, Inc. v. Evergreen Shipping Agency (AM) Corp.*, 2022 WL 18068977 (F.M.C. 2022); *In re Vehicle Carrier Services*, 1 F.M.C. 2d 440 (FMC 2019); *Gov’t of Guam v. Sea-Land Serv., Inc.*, 29 S.R.R. 894 (FMC 2002).

As the Commission explained in *OCEMA*, for ninety years it and its predecessor agencies have followed Supreme Court precedent in applying the direct purchaser rule, which treats the person that paid the illegal charges as the only person “directly damaged,” regardless of what occurred further down the distribution chain. 2024 WL 641501, at *44. In *TCW*, the Commission reiterated that only the party that actually paid the carrier may sue for an overcharge—not indirect purchasers further downstream. 2022 WL 18068977, at *7. And the Commission has “repeatedly found that a complainant cannot rely on a pass-on theory to recover reparations for overcharges.” *In re Vehicle Carrier Services*, 1 F.M.C. 2d at 446; accord *Ovchinnikov v. Hitrinov*, 2023 WL 1963462, at *12 (FMC Feb. 8, 2023).

The rule’s pedigree is over a century old. In *Southern Pacific Co. v. Darnell-Taenzer Lumber Co.*, 245 U.S. 531, 534 (1918), the Supreme Court held that the injury from an unlawful charge—and thus the right to relief—belongs solely to the party that actually paid the carrier, even if that party passed the cost on to others; inquiring into transactions “after the point of payment” would be pointless. The Commission imported the direct purchaser rule into the Shipping Act in *Oakland Motor Car Co. v. Great Lakes Transit Corp.*, 1 U.S.S.B.B. 308, 310–11 (1934), holding that the party that paid the charges was injured the moment it paid and was the only party directly damaged. The rule applies even where the complainant is the corporate parent or affiliate of the entity that actually paid; the complainant itself must prove that it paid the

charges or validly succeeded to the claim. *Stauffer Chem. Europe S.A. v. NYK Line*, 27 S.R.R. 417, 419 n.2 (FMC 1995).⁴ The Commission has recognized that its rule mirrors the antitrust direct-purchaser rule of *Illinois Brick Co. v. Illinois*, 431 U.S. 720 (1977). *TCW*, 2022 WL 18068977, at *8.

The rule's rationale confirms its application here. Permitting an indirect purchaser to sue would expose the carrier to double liability: the direct purchasers—here, the entities that actually paid COSCO—retain the sole right to seek reparations for any improper charge, and nothing would bar them from doing so. It would also force the Commission to litigate matters to which the carrier is a stranger, including whatever mark-ups or ancillary fees the intermediaries added before billing EGI—figures COSCO has no way to know. The direct purchaser rule exists to avoid precisely these problems, as well as protecting direct purchaser complainants from losing their claims on the basis that they passed the overcharges on to third parties..

III. Reimbursing an Intermediary Does Not Make EGI a Direct Purchaser.

The Complaint does not explain whether or how EGI paid COSCO. Its theory seems to be that it reimbursed (in unknown amount) the intermediaries that themselves paid COSCO. The Commission has squarely and repeatedly held that reimbursing the party who paid the carrier does not confer direct-purchaser standing. In *Gov't of Guam*, consignees on Guam argued that, having repaid the mainland shippers who paid the ocean freight directly to the carriers, they should be treated as direct purchasers entitled to reparations. The Commission held otherwise: only the mainland shippers that directly paid the carriers—not the consignees who repaid those

⁴ See also *California Cartage Co. v. Pacific Maritime Ass'n*, 23 S.R.R. 420, 427 (FMC 1985); *Carton-Print, Inc. v. Austasia Container Express*, 20 FMC 31, 34 (Init. Dec., Admin. Final 1977); *3M v. Hapag-Lloyd*, 20 S.R.R. 1020, 1021 n.3 (FMC 1981); *Procter & Gamble Mfg. Co. v. Lykes Bros. S.S. Co.*, 25 S.R.R. 1370, 1371 (Settle. Off. 1991).

shippers—could seek reparations. 29 S.R.R. at 908–09. The same rule defeated the same argument in *Sanrio, Inc. v. Maersk Line*, 19 S.R.R. 907 (ALJ Admin. Final 1979), where the Presiding Officer held that only the party that paid the freight to the carrier has standing, “not a secondary party, even if the latter party ultimately bore the cost.” And in *Trane Co. v. South African Marine Corp.*, 19 FMC 375, 378 n.9 (Init. Dec., adopted 1976), a shipper was held unable to seek reparations because the consignee had paid the carrier directly.

EGI stands in exactly the position of the *Gov’t of Guam* consignees. On the undisputed facts, COSCO never invoiced EGI and never received a dollar from EGI. (Watson Decl. & Ex. A.) Whatever EGI paid, if anything, it must have paid to intermediary third parties, which may have paid COSCO directly (or may have paid to another entity that had paid COSCO). EGI is therefore an indirect purchaser as a matter of law, and its remedy, if any, lies against someone other than COSCO. COSCO’s business records confirm this container by container: for all seventeen containers identified in Paragraph 23, the detention charges were invoiced to and paid by one of two motor carriers—Golden State Drayage Company and Never Ending Express, Inc.—and EGI appears nowhere as the invoiced or paying party. (Watson Decl. & Ex. A.)

CONCLUSION

For the foregoing reasons, COSCO respectfully requests that the Presiding Officer grant summary judgment and dismiss Complainant Verified Complaint insofar as it seeks reparations, together with such other relief as is just and proper.

Dated: July 10, 2026

Respectfully submitted,

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**ATTORNEYS FOR RESPONDENT
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CERTIFICATE OF SERVICE

I certify that on July 10, 2026, a true and correct copy of the foregoing
RESPONDENT'S MOTION FOR PARTIAL SUMMARY JUDGMENT was served by
email on all counsel of record in accordance with 46 C.F.R. Part 502.

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EXHIBIT A

B/L #	Shipment #	Container #	Bound	DD & RFM Type	Payer	Payer ID	TruckerCode	Payer Type	Charge Curr.	Charge Amt	Notice #	Invoice #
6333560751	6333560751	TGBU4759979	Inbound	DT	Golden State Drayage Company	8388576000	GSDY	TRU	USD	0	HOU00285529	2085853430;2087590015
6330896730	6330896730	FSCU8586005	Inbound	DT	Golden State Drayage Company	8388576000	GSDY	TRU	USD	0	HOU00267248	2085963368;2087590017
6327739650	6327739650	CSNU8561008	Inbound	DT	Golden State Drayage Company	8388576000	GSDY	TRU	USD	0	HOU00258006	2085963367;2087590027
6327739650	6327739650	CSNU8547334	Inbound	DT	Golden State Drayage Company	8388576000	GSDY	TRU	USD	0	HOU00258006	2085963367;2087590027
6330896730	6330896730	BEAU6204858	Inbound	DT	Golden State Drayage Company	8388576000	GSDY	TRU	USD	0	HOU00258657	2085963368;2087590017
6330896730	6330896730	TCKU6197562	Inbound	DT	Golden State Drayage Company	8388576000	GSDY	TRU	USD	0	HOU00258657	2085963368;2087590017
6333560751	6333560751	FFAU3614392	Inbound	DT	Golden State Drayage Company	8388576000	GSDY	TRU	USD	0	HOU00248304	
6330896730	6330896730	TRHU4372788	Inbound	DT	Golden State Drayage Company	8388576000	GSDY	TRU	USD	0	HOU00219964	2085963368;2087590017
6327850640	6327850640	OOCU7643078	Inbound	DT	Golden State Drayage Company	8388576000	GSDY	TRU	USD	504	HOU00203800	2085641169;2086046379
6327850640	6327850640	CSNU7603449	Inbound	DT	Golden State Drayage Company	8388576000	GSDY	TRU	USD	630	HOU00203800	2085641169;2086046379
6342774490	6342774490	OOCU7565925	Inbound	DT	Never Ending Express Inc	8772305000	NVDS	TRU	USD	4225	HOU00291822	2086207589
6342774490	6342774490	CCLU7318741	Inbound	DT	Never Ending Express Inc	8772305000	NVDS	TRU	USD	4045	HOU00291822	2086207589
6342774490	6342774490	SEGU4233144	Inbound	DT	Never Ending Express Inc	8772305000	NVDS	TRU	USD	3865	HOU00291822	2086207589
6339322190	6339322190	CBHU9575630	Inbound	DT	Never Ending Express Inc	8772305000	NVDS	TRU	USD	2355.5	HOU00284099	2085812829;2086217030
6339847390	6339847390	CSNU7080559	Inbound	DT	Never Ending Express Inc	8772305000	NVDS	TRU	USD	1599.5	HOU00284128	2085812832;2086217017
6338462870	6338462870	OOCU9073945	Inbound	DT	Never Ending Express Inc	8772305000	NVDS	TRU	USD	339.5	HOU00267211	2085802348;2086217007
6339322190	6339322190	CSNU6365813	Inbound	DT	Never Ending Express Inc	8772305000	NVDS	TRU	USD	213.5	HOU00267389	2085802350;2086217030